

OCAD - ONE COMPANY A DAY

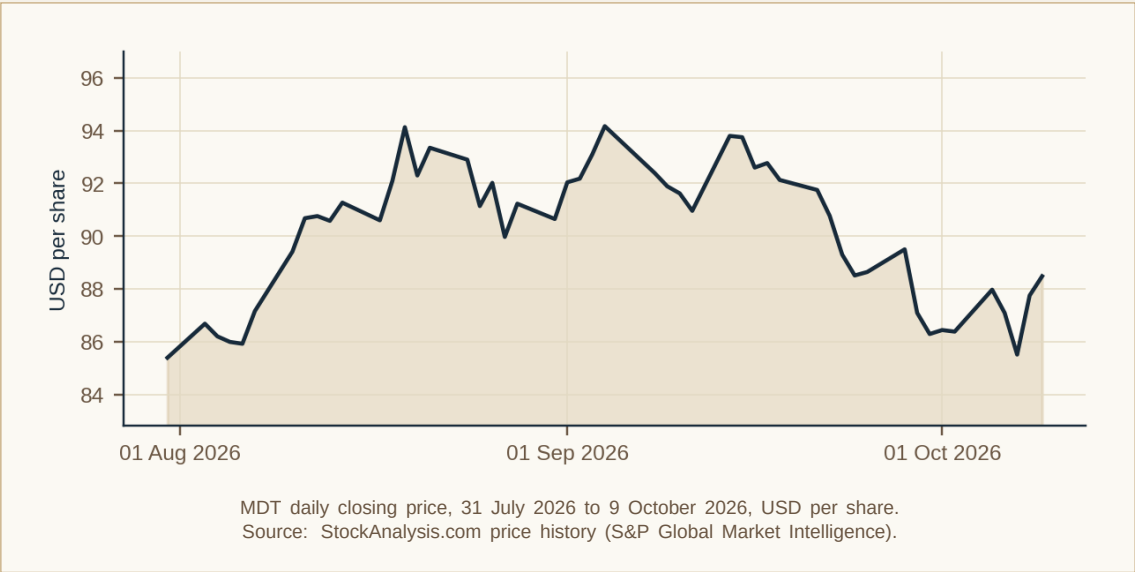
SERIES: MEDICAL DEVICE

Medtronic plc

MDT | NYSE

USD 88.48 per share

Closing price, Friday 9 October 2026, latest completed trading day



Executive Summary

Medtronic is the one of the largest medical device companies, generating USD 36.4bn in fiscal 2026 (year ended 24 April 2026) with a 65% gross margin and USD 5.4bn of free cash flow. The shares closed at USD 88.48 on 9 October 2026, 16.8% below the 52-week high, and trade at 14.7x forward earnings and 12.7x EV/EBITDA, below Abbott and Stryker on both measures.

Business

Medtronic develops and sells device-based therapies in four reporting lines: Cardiovascular (USD 14.0bn, 38% of fiscal 2026 revenue), Neuroscience (USD 10.3bn), Medical Surgical (USD 8.8bn) and Diabetes (USD 3.1bn). Customers are hospitals, health systems and patients; revenue splits almost evenly between the United States (USD 18.1bn) and international markets (USD 18.3bn). The model combines implanted and capital equipment with recurring disposables and service, and it is accounted under US GAAP.

Financial Condition

Fiscal 2026 revenue rose 8.4% (5.8% organic), the fastest in a decade according to the company, with GAAP diluted EPS of USD 3.73 and non-GAAP EPS of USD 5.53. Operating cash flow was USD 7.3bn and free cash flow USD 5.4bn (14.9% margin). Net debt was USD 19.8bn at fiscal year end (1.9x EBITDA); the first quarter of fiscal 2027 added 13.7% revenue growth, of which about USD 570m came from a 53rd week.

Market Position

Principal competitors are Boston Scientific, Abbott, Stryker, Johnson & Johnson MedTech, Intuitive Surgical, Edwards Lifesciences and Dexcom, each contesting individual franchises rather than the whole portfolio. The main advantage is breadth and installed base; the main weakness is low reported growth (3.6% in fiscal 2024 and 2025) and a later entry into pulsed field ablation and surgical robotics.

Valuation

At USD 88.48 the market capitalization is USD 113.2bn and the enterprise value USD 132.4bn. Trailing P/E is 21.8x, forward P/E 14.7x, EV/EBITDA 12.7x, trailing P/FCF 18.5x and the dividend yield 3.3%. Medtronic trades at a discount to its own five-year range (trailing P/E 27.8x to 32.2x in fiscal 2022 to 2024) and to large-cap peers.

Investment Framework

WHAT IS ATTRACTIVE	Cardiac ablation revenue grew 78% globally in the fourth quarter of fiscal 2026; free cash flow covers the dividend 1.5x; the dividend has risen for 49 consecutive years; and the multiple is the lowest of the large-cap peer group.
WHAT IS CONCERNING	Return on invested capital is only 8.3%; goodwill and intangibles equal 57% of assets; non-GAAP operating margin fell 130 basis points in fiscal 2026; and EPS is flat over four years.
WHAT MUST GO RIGHT	Ablation and robotic surgery must convert into sustained high single digit organic growth, while margins recover from tariff and investment drag.
WHAT COULD BREAK THE THESIS	Share loss in ablation, a failed or value-destructive Diabetes separation, adverse tariff or reimbursement changes, or a debt-funded acquisition at a full price.
PRICED IN	The price is consistent with roughly 4% to 5.5% revenue growth after fiscal 2027 and an operating margin near 19% to 20%, discounted at about 8.5%.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Diversified, recurring, 65% gross margin, clinical switching costs.
Financial quality	Good. Cash conversion above 100% of net income; returns on capital modest.
Competitive position	Mixed. Leader by scale, challenger in ablation and robotics.
Growth profile	Improving. Organic growth 5.8% in fiscal 2026, guided 7.25% to 7.75% for fiscal 2027.
Balance-sheet risk	Low to moderate. Net debt/EBITDA 1.8x; interest cover about 10x.
Valuation	Below peers and own history; not demanding on cash flow.
Market and technical profile	Neutral. Price at the 200-day average, RSI near 50, low beta of 0.57.

Source: analyst assessment based on sections A to C.

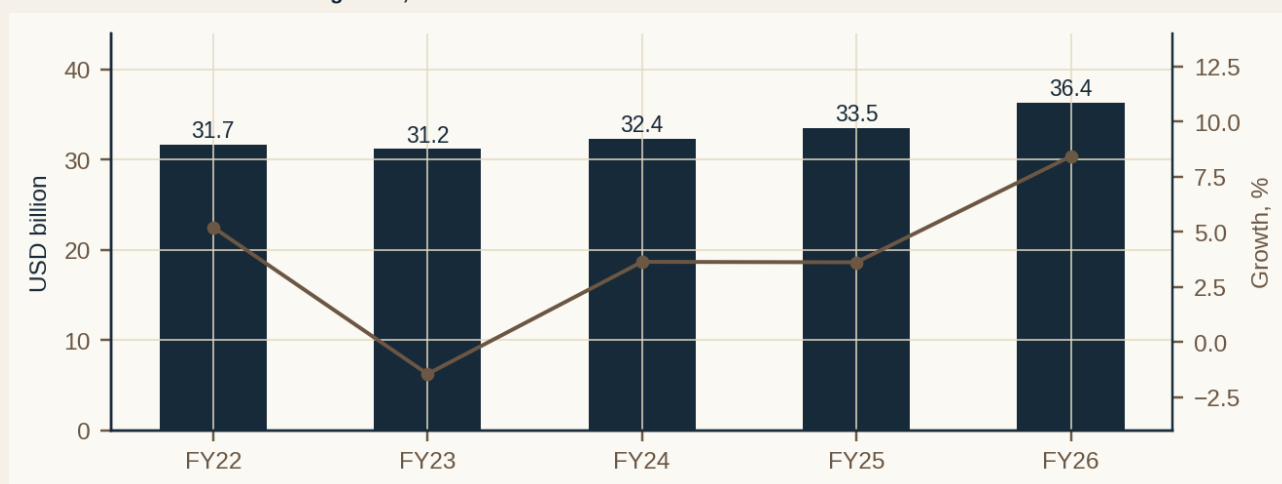
A. About the Business

A1. Business Environment

Medical devices form a value chain that runs from component and materials suppliers, through device developers and manufacturers, to distributors and hospital purchasers, with reimbursement set by public and private payers. Value is captured by companies that own clinical evidence, physician training and installed capital equipment, because these create switching costs; hospitals buy under group purchasing contracts that cap price increases at roughly zero to one percent. Industry size and growth rate: Not Retrieved from a primary source for this report; the company's own organic growth of 5.8% in fiscal 2026 and provider forecasts of 8.2% to 9.5% annual growth for Abbott and Stryker over three years provide the relevant yardstick.

The industry is capital light relative to heavy industry but R&D intensive: Medtronic spent USD 2.9bn on research and development (7.9% of sales) and USD 1.9bn on capital expenditure (5.2%). Demand is defensive, driven by ageing populations and procedure volumes, but exposed to elective procedure timing, hospital capital budgets, regulatory approvals (FDA, CE Mark), tariffs, and price pressure in China and Europe.

Medtronic revenue and annual growth, fiscal 2022 to fiscal 2026



Source: StockAnalysis.com (S&P Global Market Intelligence), fiscal years ending late April. Units: USD billion; growth in per cent.

INDUSTRY STAGE: MATURE WITH POCKETS OF RENEWED GROWTH

Large-cap medical devices are mature and consolidating at the franchise level, yet structurally transforming where new energy sources (pulsed field ablation), robotics and continuous glucose monitoring are redefining standards of care. Medtronic's revenue growth of 3.6% in fiscal 2024 and 2025 was typical of a mature franchise; the 8.4% in fiscal 2026 reflects new products, not the cycle.

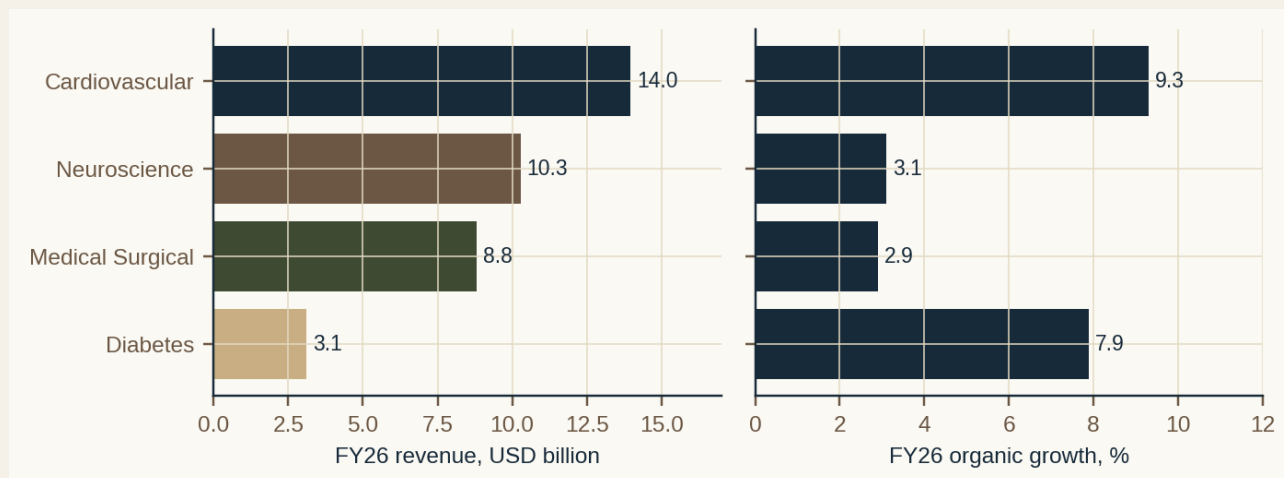
A2. What Does the Company Do?

Medtronic, founded in 1949 and domiciled in Galway, Ireland, employs about 95,000 people. It designs, manufactures and sells therapies for heart rhythm disorders, structural heart disease, coronary and peripheral vascular disease, spinal and cranial surgery, neuromodulation, minimally invasive and robotic surgery, patient monitoring, and diabetes (insulin pumps and sensors, marketed under the MiniMed brand).

Revenue is recurring in the sense that devices such as catheters, stapler reloads, pacing leads and insulin infusion sets are consumed with every procedure, while implants such as pacemakers and spinal systems carry long replacement cycles. Pricing is negotiated per hospital system under multi-year agreements; the Diabetes segment also sells to consumers and pharmacies.

Capital requirements are moderate: capital expenditure was USD 1.9bn in fiscal 2026, and acquisitions are periodic (USD 406m in fiscal 2026, USD 1.9bn in fiscal 2023).

Revenue and organic growth by reporting segment, fiscal 2026



Source: Medtronic fiscal 2026 fourth quarter earnings release, 3 June 2026 (SEC Form 8-K exhibit 99.1). Units: USD billion; organic growth in per cent.

How one dollar of revenue is used

Of each dollar of fiscal 2026 revenue, 34.7 cents went to cost of goods sold (gross margin 65.3%), 7.9 cents to research and development, and 32.4 cents to selling, general and administrative expense on a GAAP basis. Operating profit before unusual items was about 20 cents (provider basis) and GAAP operating profit 17.8 cents. After interest of 2.0 cents and tax, 13.2 cents reached net income. Operating cash flow was 20.2 cents and free cash flow 14.9 cents, which funded dividends of 10.0 cents and share repurchases of 2.8 cents.

1. CUSTOMER Hospitals, health systems, physicians and patients worldwide	2. PRODUCT AND SERVICE Implants, catheters, capital systems, surgical instruments and diabetes devices	3. REVENUE USD 36.4bn: Cardiovascular 38%, Neuroscience 28%, Medical Surgical 24%, Diabetes 9%
4. COSTS Cost of goods 34.7%, R&D 7.9%, SG&A 32.4% of revenue	5. OPERATING PROFIT GAAP operating margin 17.8%; non-GAAP 24.4%	6. CASH FLOW Operating cash flow USD 7.3bn; free cash flow USD 5.4bn
		7. CAPITAL ALLOCATION Dividends USD 3.6bn, buybacks USD 1.0bn, M&A USD 0.4bn

The most economically important parts are the Cardiovascular segment, which supplies 38% of revenue and most of the growth, and the selling cost base, because SG&A absorbs almost half of gross profit.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Hospitals and health systems	Primary customers, buying under group purchasing and direct contracts	Concentration is low by customer, but contract terms cap price increases and hospital capital budgets drive timing.
Payers and governments	Reimbursement for procedures and devices	Coverage decisions, for example for renal denervation, determine adoption rates.
MiniMed (Diabetes)	Separation planned through offering and split-off; IPO proceeds of USD 538m in fiscal 2026	Removes a lower-margin, higher-competition franchise and may release capital.
Cornerstone Robotics	Strategic investment of about USD 700m and ex-US distribution rights to the Senti system	Broadens the surgical robotics portfolio beyond Hugo.
Pi-Cardia, Merit Medical, Pulnovo	Investment up to USD 80m with option to acquire for up to USD 210m; ViaVerte agreements; minority stake	Tuck-in route to structural heart and vascular technology.
CathWorks, Scientia Vascular, SPR Therapeutics	Acquired or announced acquisitions	Add coronary physiology, neurovascular and pain management products.
Suppliers	Component, materials and contract manufacturing vendors; named major suppliers: Not Retrieved	Supply continuity and tariff exposure (tariffs cost about 50 basis points of fiscal 2026 operating margin).

Source: Medtronic fiscal 2026 fourth quarter and fiscal 2027 first quarter earnings releases (SEC Form 8-K exhibits).

A4. Competition

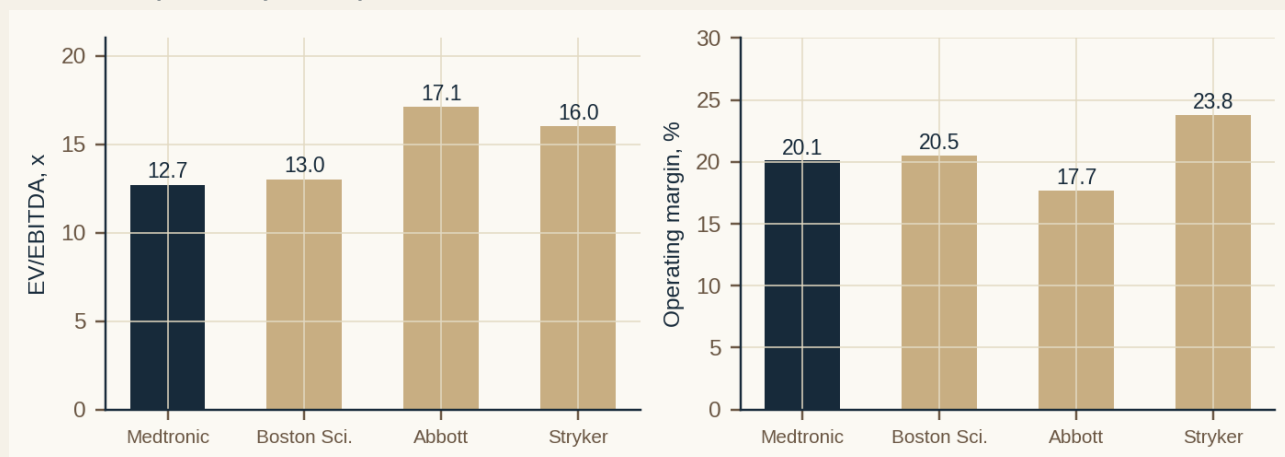
Peers were chosen because they compete with Medtronic for the same hospital budgets and physician preference: Boston Scientific in cardiac ablation, structural heart and neuromodulation; Abbott in electrophysiology, structural heart, neuromodulation and glucose monitoring; and Stryker in surgical technologies, spine and robotics. Johnson & Johnson MedTech (Ethicon, Biosense Webster, Ottava robot), Intuitive Surgical (da Vinci), Edwards Lifesciences (transcatheter valves) and Dexcom (continuous glucose monitoring) are franchise-level competitors; they are not tabulated because their business mix differs materially.

COMPETITIVE COMPARISON, TRAILING TWELVE MONTHS, USD

Company	Revenue	Op. margin	EV/EBITDA	Fwd P/E	Net debt
Medtronic	37.5bn	20.1%	12.7x	14.7x	19.2bn
Boston Scientific	21.0bn	20.5%	13.0x	13.2x	12.1bn
Abbott	46.6bn	17.7%	17.1x	17.2x	27.1bn
Stryker	25.8bn	23.8%	16.0x	17.4x	12.0bn

Source: StockAnalysis.com statistics pages, closing prices of 9 October 2026 (S&P Global Market Intelligence). Operating margin is the provider's EBIT margin; definitions differ slightly by company.

Valuation and profitability versus peers



Source: StockAnalysis.com, 9 October 2026. Units: EV/EBITDA in multiples; operating margin in per cent of trailing twelve month revenue.

Medtronic has the second-largest revenue base but the lowest EV/EBITDA, and its operating margin is mid-range. Boston Scientific carries a similar multiple on a base 44% smaller, with a forecast three-year growth rate of 5.5% in the provider data.

A5. Competitive Differences

Structural advantages are scale, a global sales and service organization, long clinical track records that make surgeons reluctant to switch, regulatory expertise and a broad installed base of pacemakers, neurostimulators and surgical consoles that generates consumable revenue. Temporary advantages are individual product leads such as the Affera mapping and ablation system, whose US share gain of about eight points in the fourth quarter shows momentum that competitors can contest.

Disadvantages are lower organic growth than the best-in-class peers (5.8% in fiscal 2026 versus forecast three-year growth of 9.5% for Abbott and 8.2% for Stryker), a high SG&A ratio (32.4%), exposure to tariffs and to China volume-based procurement, and a Diabetes franchise that competes against Abbott and Dexcom. Management's claim of a uniquely robust pipeline is partly supported by the ablation numbers but is not yet visible in margins, which contracted.

MOAT ASSESSMENT: MODERATE

Return on invested capital of 8.3% sits barely above a plausible cost of capital of 7.5% to 8.5%, which argues against a strong moat at group level. Gross margin has fallen from 68.4% in fiscal 2022 to 65.3% in fiscal 2026, indicating pricing and mix pressure. Individual franchises, such as cardiac rhythm management, hold strong positions, but the portfolio average is moderate.

A6. Industry Trend

Growth in large-cap medical devices is cyclical in procedure volumes but structurally supported by demographics. The structural trends are electrophysiology moving from radiofrequency and cryoablation to pulsed field energy, robotic assistance spreading from urology to general surgery, continuous glucose monitoring with automated insulin delivery, and renal denervation entering reimbursement. Temporary conditions include the post-pandemic backlog of elective procedures, currency, and tariffs. The industry is classified as growing and consolidating, with disruption in ablation and robotics. The trend would reverse if hospital capital budgets tighten, if payers restrict coverage of new procedures, or if tariffs become permanent and unrecoverable.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Geoffrey S. Martha	Chairman and Chief Executive Officer	Long-serving Medtronic executive who has led the company as CEO since 2020; insider ownership of the company is 0.04% of shares in aggregate.
Thierry Piéton	Executive Vice President and Chief Financial Officer	Joined 3 March 2025 from Renault Group, where he was CFO from 2022; earlier finance roles at Nissan and GE, including GE Healthcare.
Michelle Quinn	Executive Vice President, General Counsel and Secretary	Legal and governance leadership.
Michael Marinaro	President, Medical Surgical Portfolio and Americas	Runs the segment that includes surgical robotics.
Dr. Laura Mauri	Senior Vice President, Chief Scientific and Medical Officer	Leads clinical evidence and regulatory science.

Source: StockAnalysis.com company profile; MedTech Dive, new chief financial officer announcement. Further biographical detail: Not Retrieved.

Capital allocation under Martha has favoured the dividend (USD 3.6bn, 49 consecutive annual increases) over buybacks, which swung between USD 0.6bn and USD 3.2bn a year, and moved toward tuck-in acquisitions and strategic investments in fiscal 2027. The planned separation of Diabetes shows willingness to prune the portfolio. Alignment is imperfect: insider ownership is minimal, reported non-GAAP EPS of USD 5.53 exceeds GAAP EPS of USD 3.73 by 48% because of amortization and restructuring. Guidance credibility is untested: fiscal 2026 non-GAAP EPS grew 0.7% (down 2.0% in constant currency), while fiscal 2027 guidance calls for 6.7% to 8.5% growth.

B. Evaluation

B1. Financial and Operating Metrics

Metrics below use the provider's standardized financials for fiscal 2022 to 2026 (years ending late April). Provider operating income excludes certain restructuring and unusual items, so it exceeds GAAP operating profit (fiscal 2026: 20.0% against 17.8% reported); trends are comparable year to year, levels are not directly comparable with the company's GAAP figure.

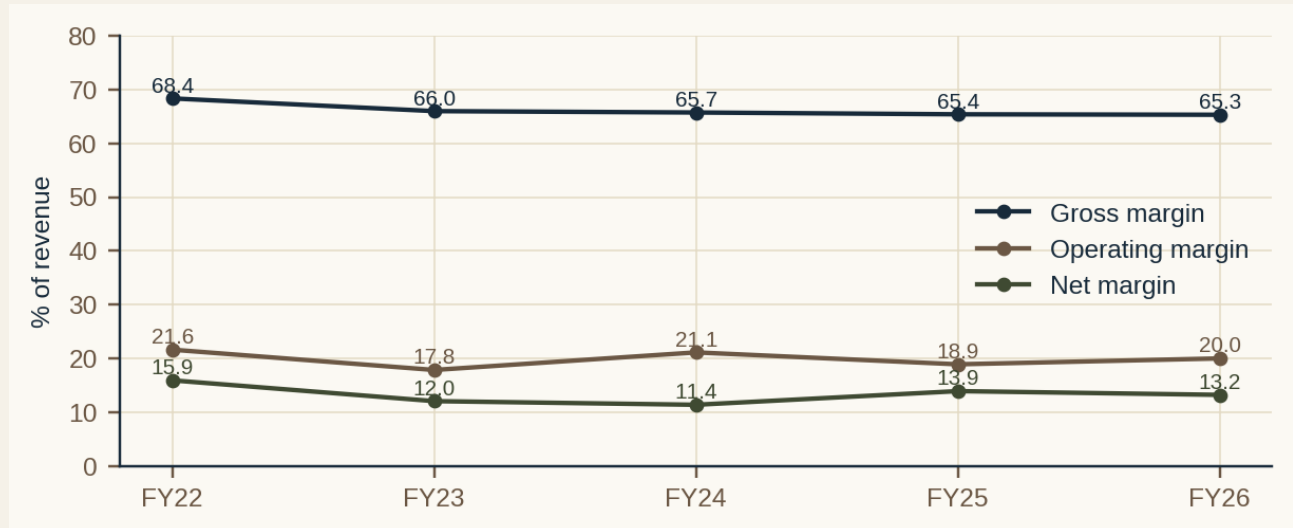
PROFITABILITY AND RETURNS

Metric	FY22	FY23	FY24	FY25	FY26
Gross margin	68.3%	66.0%	65.7%	65.4%	65.3%
Operating margin (provider)	21.6%	17.8%	21.1%	18.9%	20.0%
EBITDA margin (calculated)	30.2%	26.5%	29.3%	27.0%	27.8%
Net margin	15.9%	12.0%	11.4%	13.9%	13.2%
Return on equity	9.7%	7.3%	7.3%	9.5%	9.8%
Return on assets	4.7%	3.8%	4.7%	4.4%	4.9%
Return on invested capital	9.3%	5.8%	7.6%	7.7%	8.3%

Source: StockAnalysis.com (S&P Global Market Intelligence). EBITDA margin calculated as provider operating income plus depreciation and amortization from the cash flow statement, divided by revenue.

Gross margin has fallen 3.0 percentage points in four years, a combination of mix, inflation and tariffs. Return on equity of about 10% is depressed by USD 52.7bn of goodwill and intangibles, largely from past acquisitions, which makes reported returns a poor guide to the economics of the underlying franchises.

Gross, operating and net margin, fiscal 2022 to fiscal 2026



Source: StockAnalysis.com (S&P Global Market Intelligence). Units: per cent of revenue. Operating margin on the provider's standardized basis.

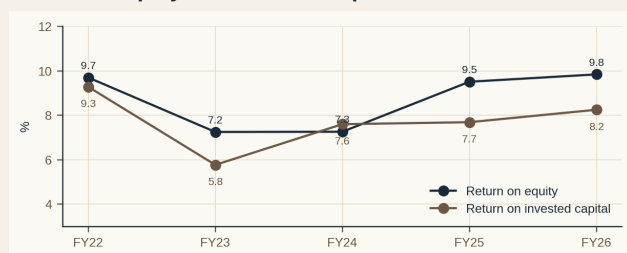
GROWTH, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY22	FY23	FY24	FY25	FY26
Revenue growth	5.2%	-1.4%	3.6%	3.6%	8.4%
Diluted EPS, USD	3.73	2.82	2.76	3.61	3.73
Asset turnover, x	0.34	0.34	0.36	0.37	0.39
Inventory turnover, x	2.25	2.14	2.11	2.17	2.21
Net debt / EBITDA, x	1.50	2.10	1.90	2.28	1.96
Debt / equity, x	0.47	0.49	0.52	0.61	0.58
Operating cash flow / net income, x	1.46	1.61	1.85	1.51	1.53
Free cash flow margin	18.9%	14.7%	16.1%	15.5%	14.9%
Capex / revenue	4.3%	4.7%	4.9%	5.5%	5.2%

Source: StockAnalysis.com (S&P Global Market Intelligence); ratios of operating cash flow to net income and capex to revenue calculated from reported statements. Fiscal 2025 was a 52-week year; fiscal 2027 contains 53 weeks.

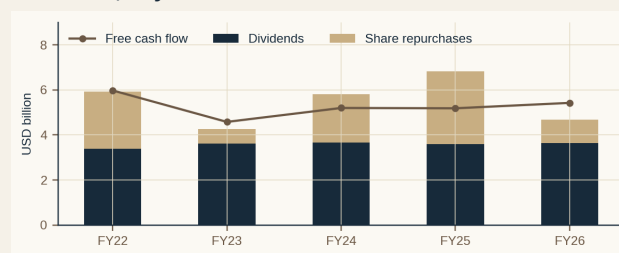
Four-year compound growth from fiscal 2022 to fiscal 2026 (calculated): revenue 3.5%, EBITDA 1.4%, diluted EPS 0.0%, free cash flow -2.4%. Reported EPS growth is therefore flat while the share count fell 3.8% (1,331m to 1,280m shares), which means business growth in earnings is weaker than the share count reduction suggests.

Return on equity and invested capital



Source: StockAnalysis.com. Units: per cent.

Dividends, buybacks and free cash flow



Source: StockAnalysis.com. Units: USD billion.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Competitive share loss in ablation and structural heart	Medium	High	Boston Scientific and Abbott are strong in ablation; Cardiac Ablation Solutions (78% growth) underpins the growth guidance.
2	Tariffs and trade policy	High	Medium	Tariffs cost 80 basis points of fourth-quarter and 50 basis points of fiscal 2026 operating margin.
3	Capital allocation and Diabetes separation	Medium	Medium	A split-off structure is not yet decided; dilution, stranded costs or a poor valuation would erode value.
4	Valuation and multiple compression	Medium	Medium	Trailing P/E has fallen from 32.2x to 21.6x; a further de-rating would follow any growth miss.
5	Reimbursement and pricing	Medium	Medium	Hospital pricing caps and volume-based procurement in some markets limit price.
6	Leverage and refinancing	Low	Medium	USD 1.8bn of long-term debt falls due within a year against USD 9.2bn of cash and investments.
7	Regulation and product recall	Low	High	Quality actions on implanted devices can halt sales; the FDA filing for Hugo remains pending.
8	Currency	Medium	Low	About half of revenue is earned outside the United States; fiscal 2027 EPS guidance assumes neutral to 1% accretion.
9	Cybersecurity and technology	Low	Medium	Connected implants and cloud-based diabetes services expand the attack surface.

Source: analyst assessment using Medtronic earnings releases and the balance sheet.

The three risks most able to impair shareholder value permanently are share loss in the highest-growth franchise (ablation), a value-destructive transaction in the planned portfolio reshaping, and a structural fall in margins from tariffs and pricing, because each lowers the earnings base on which the valuation rests.

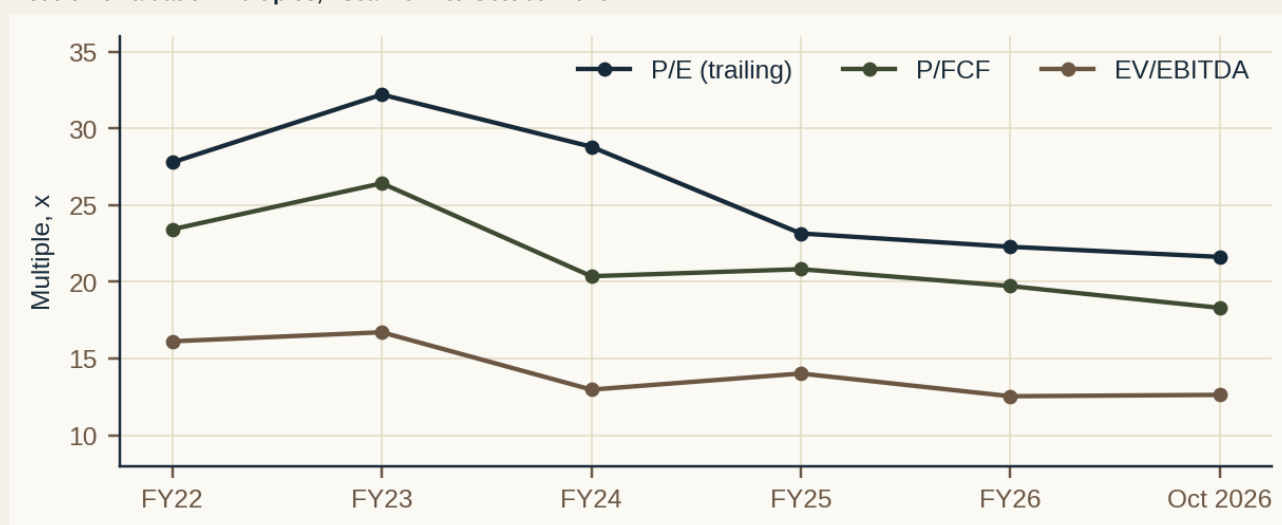
B3. Valuation

VALUATION MULTIPLES, CURRENT AND HISTORICAL

Multiple	Current	FY26	FY25	FY24	FY23	FY22
P/E, trailing	21.6x	22.3x	23.2x	28.8x	32.2x	27.8x
P/E, forward	14.6x	14.3x	14.6x	14.9x	17.3x	18.0x
EV/EBITDA	12.6x	12.5x	14.0x	13.0x	16.7x	16.1x
EV/EBIT	17.4x	17.4x	20.0x	18.0x	24.8x	22.5x
EV/Sales	3.5x	3.5x	3.8x	3.8x	4.4x	4.9x
P/FCF	18.3x	19.7x	20.8x	20.4x	26.4x	23.4x
Dividend yield	3.3%	3.5%	3.5%	3.8%	3.4%	2.8%

Source: StockAnalysis.com ratios page (S&P Global Market Intelligence); current column as of 8 October 2026 at a price of USD 87.75. At the 9 October close of USD 88.48 the statistics page shows P/E 21.8x, forward P/E 14.7x and EV/EBITDA 12.7x. Forward multiples use consensus earnings.

Medtronic valuation multiples, fiscal 2022 to October 2026



Source: StockAnalysis.com ratios page. Units: multiples (x). Fiscal year columns use the price at fiscal year end.

Every multiple sits at or near the bottom of its five-year range. The de-rating is explained partly by flat earnings: market capitalization fell from USD 140.0bn in April 2022 to USD 113.2bn today while GAAP net income was roughly unchanged, so the multiple compression is the entire decline. Relative to peers the discount is 3 to 4 turns of EV/EBITDA against Abbott and Stryker, and parity with Boston Scientific. PEG is 3.7x, which says that low earnings growth, not a bargain price, explains the low multiples.

What is priced in. Solving the discounted cash flow model in section C5 for the current price, the market is consistent with a weighted average cost of capital near 8.5% when revenue grows 7.5% in fiscal 2027 and then 5.5% to 4.0%, with operating margin rising from 19.0% to 20.5%. Equivalently, at an 8.0% cost of capital, the price requires growth about 1.5 points lower and margins about 1.5 points lower than the base case. These expectations appear reasonable: they require roughly the growth the company is guiding to, and no margin recovery to the 21.6% of fiscal 2022.

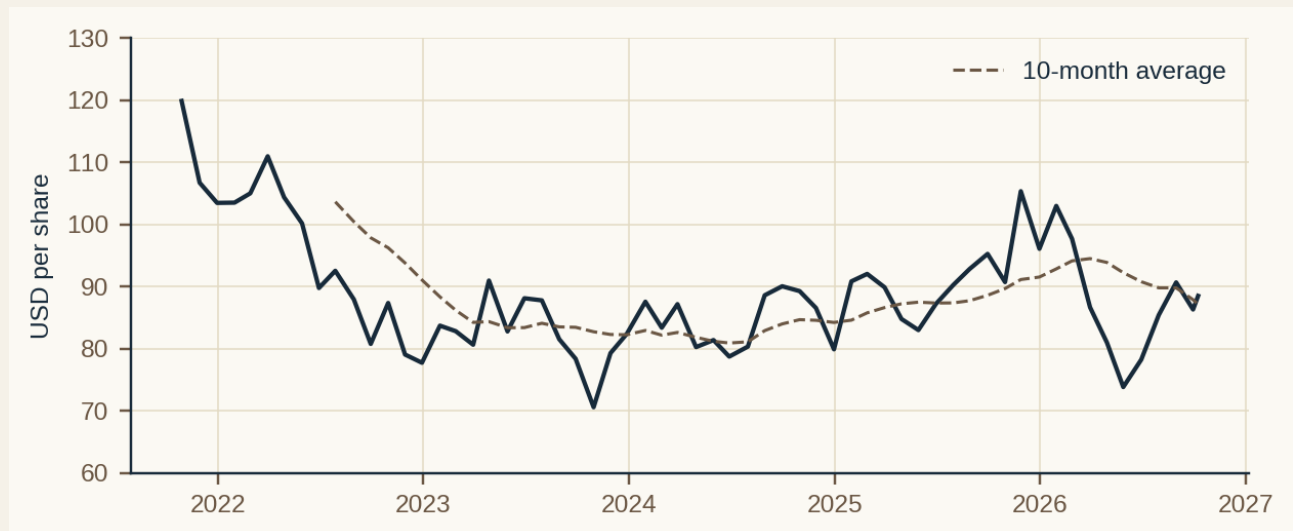
B4. Capital Market and Stock Analysis

PRICE RETURNS, CLOSE OF 9 OCTOBER 2026

Period	Price return	Total return	Reference date
1 day	0.8%	0.8%	8 October 2026
1 week	2.4%	2.4%	2 October 2026
1 month	-3.7%	-3.7%	9 September 2026
3 months	13.1%	14.0%	30 June 2026 (month end)
6 months	9.3%	11.1%	30 April 2026 (month end)
Year to date	-7.9%	-5.6%	31 December 2025
1 year	-7.1%	-4.0%	30 September 2025 (month end)
3 years	25.4%	38.3%	31 October 2023 (month end)
5 years	-26.2%	-13.4%	29 October 2021 (month end)

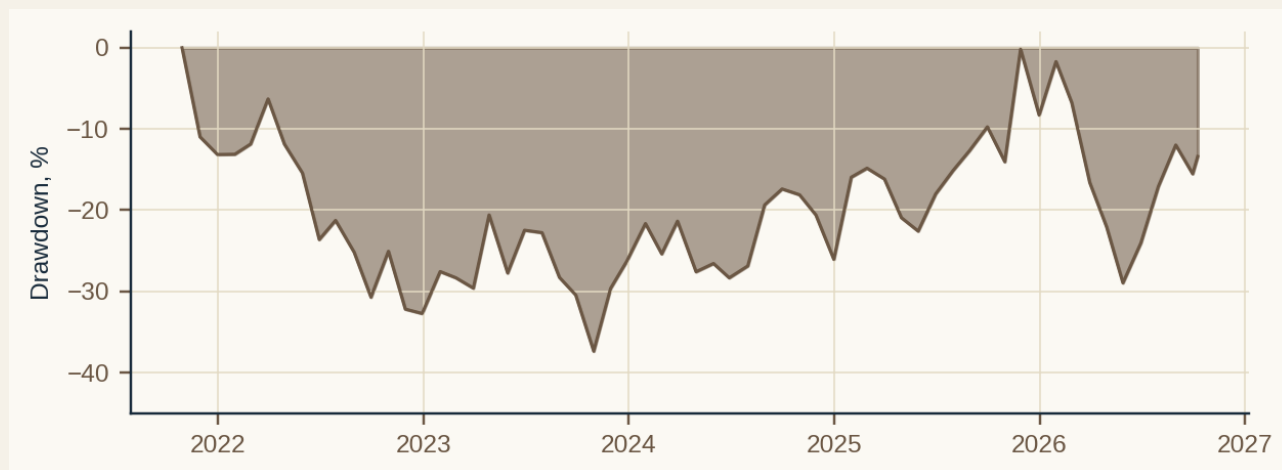
Source: Alpha Vantage adjusted daily and monthly series (price) and StockAnalysis.com (daily closes); returns calculated. Total return uses the dividend-adjusted close. The provider's 52-week price change is -9.6%. Benchmark: SPDR S&P 500 ETF total return over one year is +16.9% (StockAnalysis.com), an underperformance of roughly 21 to 26 points over the period.

Medtronic month-end closing price, October 2021 to 9 October 2026



Source: Alpha Vantage monthly series. Units: USD per share. Dashed line: ten-month simple average.

Over five years the shares fell 26% in price (13% including dividends, a 2.8% annualized total loss), while the S&P 500 rose strongly; the stock has been a low-beta defensive holding that lagged. The 38% decline to October 2023 was followed by a recovery to USD 105.33 in November 2025, a fall to USD 73.81 in May 2026, and a 20% rebound since.

Drawdown from running peak, October 2021 to October 2026

Source: Alpha Vantage monthly adjusted series. Units: per cent below the highest dividend-adjusted month-end close in the window.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, five years	23.6%	Calculated from month-end adjusted closes
Annualized volatility, 50 trading days	21.6%	Calculated from daily closes
Downside volatility, five years	15.7%	Calculated, returns below zero
Beta versus S&P 500, five years	0.57	StockAnalysis.com
Maximum drawdown, month-end basis	-37.4%	Calculated, to October 2023
Distance from 52-week high of USD 106.33	-16.8%	Calculated
Distance from 52-week low of USD 73.31	+20.7%	Calculated
Correlation with benchmark	Not Retrieved	Not available

Technical structure. The close of USD 88.48 is 1.8% below the 50-day average (USD 90.11) and level with the 200-day average (USD 88.38), a neutral position after the stock traded in a range of USD 83.84 to USD 95.41 between 31 July and 9 October. The 14-day RSI is 49.7 (provider 48.3), the MACD line (-1.03) is below its signal (-0.88), and the 14-day average true range is USD 2.25, or 2.5% of the price. Volume rose sharply in October (104m shares on 8 October against a 20-day average of 26.7m); the cause is not identified in the sources reviewed. These indicators describe sentiment and trend, and are independent of the fundamental valuation: they signal consolidation, not a breakout or breakdown. Support lies near USD 83.8 to 85.4 (the early August and early October lows), and resistance near USD 93 to 95.

C. Financial Statements

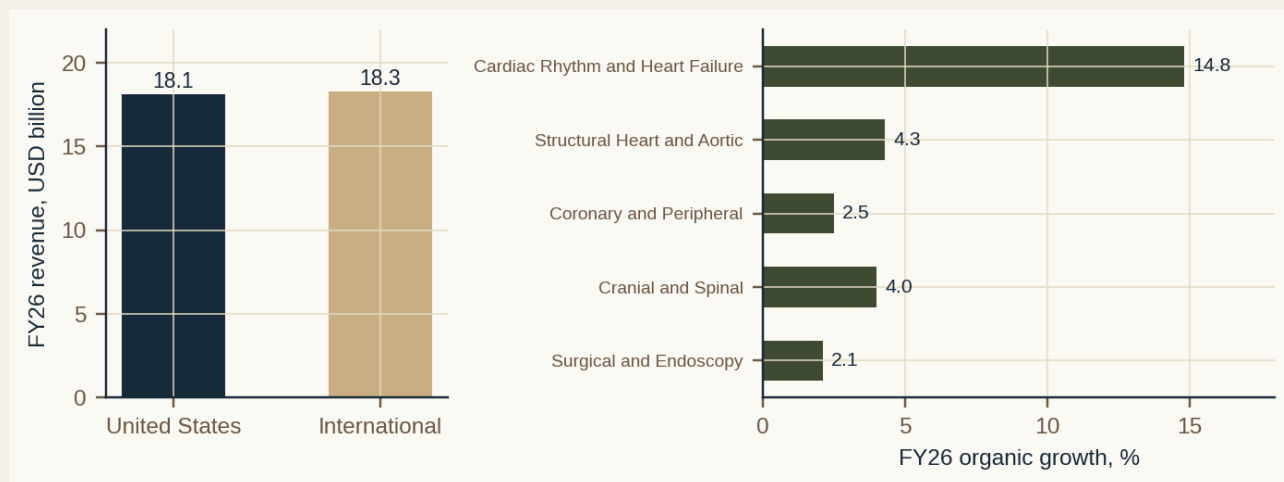
C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION, FISCAL YEARS ENDING LATE APRIL

Item	FY22	FY23	FY24	FY25	FY26
Revenue	31,686	31,227	32,364	33,537	36,364
Gross profit	21,658	20,605	21,273	21,931	23,749
Operating income (provider)	6,847	5,569	6,830	6,334	7,266
Net income	5,039	3,758	3,676	4,662	4,801
Diluted EPS, USD	3.73	2.82	2.76	3.61	3.73
Depreciation and amortization	2,707	2,697	2,647	2,710	2,837
Share count at year end, million	1,331	1,331	1,311	1,282	1,280

Source: StockAnalysis.com (S&P Global Market Intelligence); fiscal 2026 detail from the 3 June 2026 earnings release: R&D USD 2,873m, SG&A USD 11,784m, net interest expense USD 715m, GAAP effective tax rate 21.2%.

Geographic revenue and sub-segment organic growth, fiscal 2026



Source: Medtronic fiscal 2026 fourth quarter earnings release (SEC Form 8-K exhibit 99.1). Units: USD billion; organic growth in per cent.

Revenue growth in fiscal 2026 of 8.4% splits into 5.8% organic growth, with the balance from currency and acquisitions (calculated). Cardiovascular grew 9.3% organically, driven by Cardiac Rhythm and Heart Failure (+14.8%) where ablation is reported; Neuroscience grew 3.1%, Medical Surgical 2.9% and Diabetes 7.9%. Growth is therefore concentrated in one franchise. Operating leverage was limited: provider operating income rose 14.7% on 8.4% revenue growth, but GAAP operating margin was flat at 17.8% and non-GAAP operating margin fell 130 basis points to 24.4%, with tariffs costing about 50 basis points. Margins are contracting at the gross level and stable at the GAAP operating level. The gap between GAAP EPS of USD 3.73 and non-GAAP EPS of USD 5.53 is mainly amortization of intangibles (the split between amortization and restructuring is Not Retrieved), restructuring and acquisition-related charges. Non-GAAP is not superior; it excludes real recurring costs of past acquisitions.

FIRST QUARTER OF FISCAL 2027 (QUARTER ENDED 31 JULY 2026), USD MILLION

Segment	Revenue	Reported growth	Organic growth
Cardiovascular	3,927	19.5%	18.9%
Neuroscience	2,678	10.3%	9.3%
Medical Surgical	2,279	10.0%	10.2%
Diabetes	843	16.9%	14.9%
Total	9,756	13.7%	13.7%

Source: Medtronic fiscal 2027 first quarter earnings release (SEC Form 8-K exhibit 99.1). The 53rd week added about USD 570m to the quarter. GAAP diluted EPS USD 1.14; non-GAAP USD 1.45.

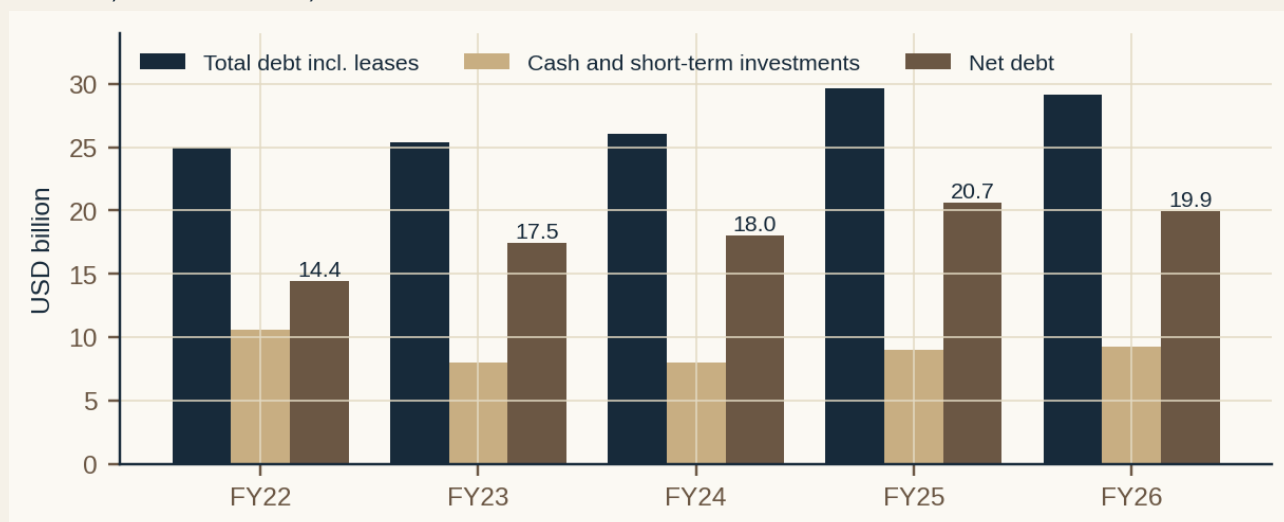
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION, FISCAL YEAR END

Item	FY22	FY23	FY24	FY25	FY26
Cash and short-term investments	10,573	7,959	8,005	8,965	9,220
Receivables	7,650	5,998	6,128	6,515	6,643
Inventory	4,616	5,293	5,217	5,476	5,951
Property, plant and equipment	6,267	6,610	7,143	7,937	8,614
Goodwill	40,502	41,425	40,986	41,737	42,587
Other intangible assets	15,595	14,844	13,225	11,667	10,146
Total assets	90,981	90,948	89,981	91,680	93,028
Total debt incl. leases	24,984	25,413	26,047	29,626	29,149
Net debt	14,347	17,339	18,014	20,644	19,799
Shareholders' equity	52,722	51,665	50,420	48,256	50,072

Source: StockAnalysis.com balance sheet (S&P Global Market Intelligence). Net debt is total debt including leases less cash and short-term investments (excludes USD 858m of long-term investments).

Total debt, cash and net debt, fiscal 2022 to fiscal 2026



Source: StockAnalysis.com. Units: USD billion. Debt includes lease liabilities.

Net debt of USD 19.8bn equals 1.96x EBITDA and 0.40x equity; the current ratio is 2.13x and the quick ratio 1.36x. Working capital is USD 13.1bn. Debt maturing within a year is USD 1.8bn against USD 9.2bn of cash and short-term investments, so near-term refinancing risk is low. Equity represents 53.8% of total assets. Receivables equal about 67 days of revenue (calculated), an improvement on 69 to 71 days in fiscal 2023 to 2025, and inventory has risen 29% since fiscal 2022 against revenue growth of 15%, which is a mild warning sign for inventory turnover (2.2x, flat). Red flags: goodwill is 46% of assets and goodwill plus intangibles USD 52.7bn exceed total equity of USD 50.1bn, giving a negative tangible book value of USD 3.3bn. Pension obligations are small (USD 495m). Off-balance-sheet obligations were Not Retrieved.

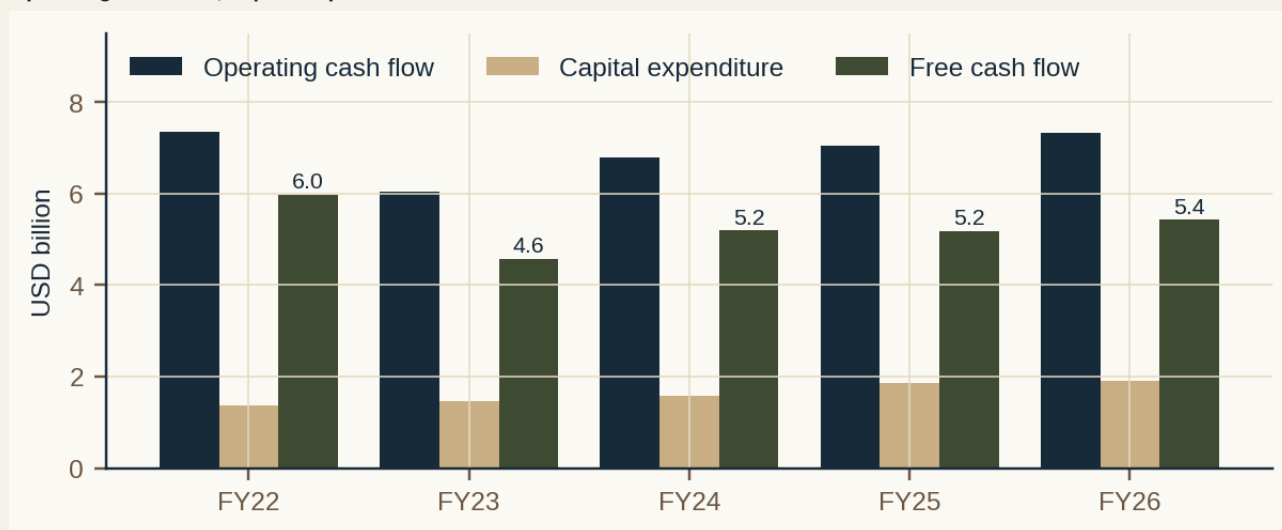
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

Item	FY22	FY23	FY24	FY25	FY26
Operating cash flow	7,346	6,039	6,787	7,044	7,330
Capital expenditure	-1,368	-1,459	-1,587	-1,859	-1,904
Free cash flow	5,978	4,580	5,200	5,185	5,426
Acquisitions	-91	-1,867	-211	-98	-406
Dividends paid	-3,383	-3,616	-3,666	-3,589	-3,639
Share repurchases	-2,544	-645	-2,138	-3,235	-1,035
Net debt issued (repaid)	-1	-598	1,073	2,139	-1,174
Financing cash flow	-5,336	-4,960	-4,450	-4,361	-4,751

Source: StockAnalysis.com cash flow statement; free cash flow equals operating cash flow less capital expenditure (calculated). Trailing twelve month free cash flow to July 2026 is USD 6.1bn (fiscal 2026 plus first quarter 2027 USD 1,290m less first quarter 2026 USD 584m).

Operating cash flow, capital expenditure and free cash flow



Source: StockAnalysis.com. Units: USD billion. Fiscal years ending late April.

Cash generation supports accounting earnings: operating cash flow was 1.5x net income and free cash flow 1.1x in fiscal 2026. The gap exists because USD 2.8bn of depreciation and amortization, USD 457m of stock compensation and USD 121m of restructuring charges are non-cash, partly offset by USD 1.4bn of working capital investment. Capital expenditure has risen from 4.3% to 5.2% of revenue, which compresses free cash flow growth to 4.6% in fiscal 2026 while operating cash flow rose 4.1%. Dividends absorbed 67% of free cash flow and shareholder returns in total 86%, leaving little room for acquisitions without debt; in fiscal 2025 total returns (USD 6.8bn) exceeded free cash flow and were partly debt funded.

C4. Forecasting and Projections

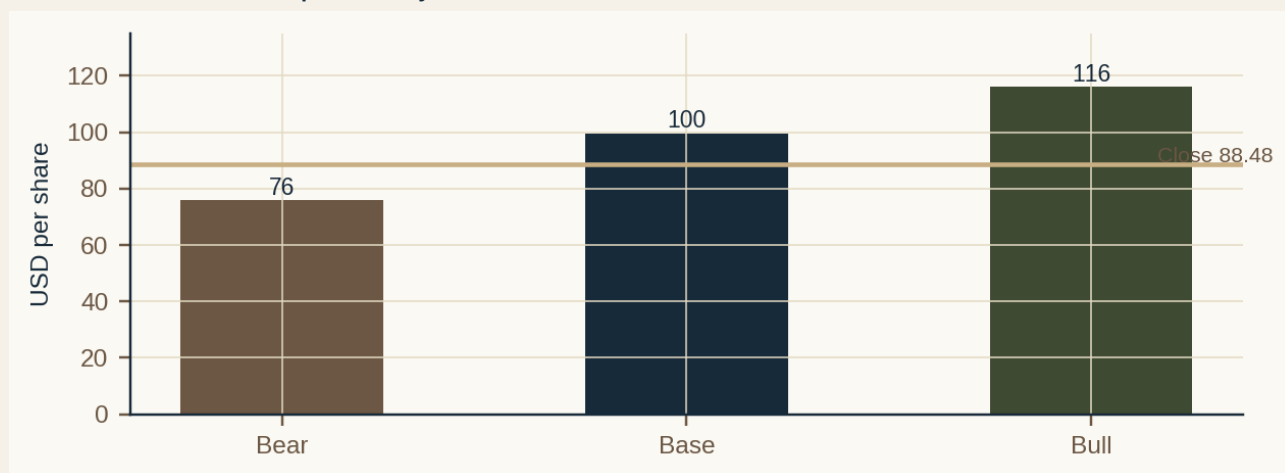
The projections below are the analyst's own assumptions built on company guidance (organic growth 7.25% to 7.75% in fiscal 2027); they are not forecasts of the share price. Revenue growth in the base case is 7.5% in fiscal 2027, helped by the 53rd week (about USD 570m in the first quarter alone, or 1.6 points of annual growth), then fades from 5.5% to 4.0% as the ablation growth rate normalizes. Segment drivers are cardiac ablation and structural heart for Cardiovascular, spine and neuromodulation for Neuroscience, robotics and surgical consumables for Medical Surgical, and Diabetes, whose separation would change the revenue base (about USD 3.1bn). Volume, price and mix split: Not Retrieved; the company reports organic growth only in aggregate by segment. Operating margin on the provider's basis starts at 19.0% (below 20.0% in fiscal 2026 for tariffs and growth investment) and recovers to 20.5% as SG&A leverage returns. Depreciation is 7.8% of revenue and capital expenditure 5.2% (growth capex for ablation and robotics assumed to be about half of the total; the maintenance split is Not Retrieved), and incremental working capital is 12% of incremental revenue (calculated from fiscal 2026 working capital of USD 13.1bn against revenue of USD 36.4bn, adjusted for trend).

SCENARIO ASSUMPTIONS AND OUTPUTS

Item	Bear	Base	Bull
Revenue growth, FY27	6.0%	7.5%	8.0%
Revenue growth, FY31	2.0%	4.0%	5.0%
Operating margin, FY27	18.0%	19.0%	19.5%
Operating margin, FY31	17.0%	20.5%	22.8%
Revenue FY31, USD bn	42.5	47.1	49.8
Operating income FY31, USD bn	7.2	9.6	11.4
Value per share, USD (WACC 8.0%, g 2.5%)	76	100	116

Source: analyst projections; valuation output from the discounted cash flow model in section C5. Close of 9 October 2026 was USD 88.48.

Discounted cash flow value per share by scenario



Source: analyst model (section C5). Units: USD per share; WACC 8.0%, terminal growth 2.5%. Horizontal line: closing price of 9 October 2026.

Sensitivity to revenue growth and margin is shown in the second table of section C5.

C5. Discounted Cash Flow (DCF) Model

Assumptions (base case): fiscal 2026 revenue of USD 36,364m grown 7.5%, 5.5%, 5.0%, 4.5% and 4.0% over fiscal 2027 to 2031; operating margin 19.0% rising to 20.5%; cash tax rate 19.0% (between the 17.3% non-GAAP and 21.2% GAAP rates); depreciation 7.8% and capital expenditure 5.2% of revenue; incremental working capital 12% of the change in revenue; mid-year discounting; terminal growth 2.5%; WACC 8.0% in the central case. Terminal value in the base case is USD 164bn, of which a present value of USD 116bn, or 78% of enterprise value of USD 148bn; this concentration shows that the output depends mainly on the long-run assumptions. Net debt of USD 19.2bn (latest quarter), minority interest of USD 0.6bn and 1,292m diluted shares (calculated from fiscal 2026 net income and diluted EPS) convert enterprise value to value per share. Because of share-based compensation (USD 457m, treated here as a cash-like cost within operating margin) and the planned separation of Diabetes, the model is a framework and not a precise estimate.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), BASE CASE VALUE PER SHARE, USD

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.0%	103	113	125	140	159
7.5%	93	101	111	123	137
8.0%	85	92	100	109	121
8.5%	78	84	90	98	107
9.0%	72	77	82	89	96

SENSITIVITY: CHANGE IN REVENUE GROWTH, ALL YEARS (ROWS) AGAINST CHANGE IN OPERATING MARGIN (COLUMNS), VALUE PER SHARE, USD

Growth change	-2.0 pts	-1.0 pt	Base	+1.0 pt	+2.0 pts
-2.0 pts	82	87	91	96	100
-1.0 pt	86	91	95	100	105
Base	90	95	100	105	110
+1.0 pt	94	99	104	109	114
+2.0 pts	98	103	108	114	119

The valuation range implied by plausible assumptions (WACC 7.5% to 8.5%, terminal growth 2.0% to 3.0%) is roughly USD 84 to USD 123 per share, against a close of USD 88.48. This range is a statement about assumptions and not a price forecast. Currency is US dollars throughout; the model uses fiscal years ending late April.

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of USD 132bn (about 12.7x EBITDA) a leveraged buyout would require roughly USD 60bn to USD 70bn of equity even at 6x leverage, beyond any precedent sponsor consortium, so an LBO analysis is not meaningful.

D. Investment Thesis

Bull Case

Cardiac ablation share gains continue (the fourth quarter showed 124% US growth), Hugo is approved for general surgery in the United States, renal denervation obtains broader coverage, and the Diabetes separation crystallizes value. Organic growth of 7% to 8% for several years, operating margin returning to 22% to 23% and a re-rating toward the peer multiple of 16x EV/EBITDA would produce a discounted cash flow value of about USD 116 at an 8.0% cost of capital and above that at peer multiples.

Bear Case

Ablation growth slows as Boston Scientific and Abbott compete, tariffs and price pressure compress margins to 17%, Neuroscience and Medical Surgical stay near 3% organic growth, and the separation or acquisitions destroy value. Revenue growth of 2% to 3% with a 17% margin gives about USD 76 per share at an 8.0% cost of capital, and further multiple contraction would push the market price lower.

Base Case

Revenue growth of 7.5% in fiscal 2027 (partly the extra week), fading to about 4% by fiscal 2031, operating margin of 19% to 20.5%, annual dividend growth in line with earnings, and no multiple change. This gives about USD 100 at an 8.0% cost of capital, with the plausible range of USD 84 to USD 123.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Second quarter fiscal 2027 results	Expected late 2026 (date not confirmed)	Tests whether ablation and cardiovascular growth above 15% persist after the extra week effect fades.
FDA decision on Hugo for general surgery	Not announced	Opens the largest US robotic surgery indication.
Diabetes separation structure	Not announced	Decision on split-off or offering affects capital returns and the share count.
Tariff and trade policy	Ongoing	Directly affects gross margin (about 50 basis points in fiscal 2026).
Dividend increase	Announced annually with fiscal year results	A fiftieth consecutive increase would be expected with the fiscal 2027 results in mid 2027.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Cardiac ablation growth	Main source of upside to organic growth	Above 50% growth, rising US share	Below 20% growth, share loss
Gross margin	Tariffs and mix	Back above 66%	Below 65%
Free cash flow margin	Funds dividend and balance sheet	Above 16%	Below 14%
Net debt / EBITDA	Capacity for acquisitions	Below 1.8x	Above 2.5x
Non-GAAP to GAAP EPS gap	Quality of earnings	Narrowing from 48%	Widening

E. Final Investment Framework

BUSINESS QUALITY	High. Broad portfolio, recurring consumable revenue and a 65% gross margin, although mix has diluted gross margin by three points since fiscal 2022.
FINANCIAL QUALITY	Good. Free cash flow of USD 5.4bn and cash conversion above net income; returns on invested capital of 8.3% are modest because of USD 52.7bn of acquired goodwill and intangibles.
COMPETITIVE POSITION	Moderate moat. Leader in scale and breadth, challenger in ablation and robotics.
MANAGEMENT	Adequate. Shareholder-friendly dividend record and portfolio pruning, but minimal insider ownership and flat EPS over four years.
INDUSTRY	Defensive and growing, with disruption in ablation, robotics and diabetes technology.
VALUATION	Low relative to history and peers (14.7x forward P/E, 12.7x EV/EBITDA); expectations embedded in the price appear reasonable.
TECHNICAL AND MARKET STRUCTURE	Neutral. Price at the 200-day average, RSI about 50, 17% below the 52-week high, beta 0.57.
PRINCIPAL RISK	Loss of ablation share to Boston Scientific and Abbott.
PRINCIPAL CATALYST	Sustained cardiovascular growth above 15% in the second quarter of fiscal 2027 and beyond.
KEY VARIABLE	Organic revenue growth and whether it holds near 7% once the 53rd week effect is excluded.
THESIS INVALIDATION	The investment thesis would become materially weaker if organic revenue growth falls below 4% for two consecutive quarters, if gross margin falls below 64%, if net debt/EBITDA rises above 2.5x, or if free cash flow no longer covers the dividend.

F. Data Table

Category	Metric	Current	Prior year	FY22 / 4-year trend
Market	Market capitalization, USD	113.2bn	107.9bn	140.0bn
Market	Enterprise value, USD	132.4bn	126.8bn	154.0bn
Market	Share price, USD	88.48	80.18	90.04
Growth	Revenue growth	8.4%	3.6%	CAGR 3.5%
Profitability	Gross margin	65.3%	65.4%	68.3%
Profitability	Operating margin (provider)	20.0%	18.9%	21.6%
Profitability	Net margin	13.2%	13.9%	15.9%
Profitability	Return on equity	9.8%	9.5%	9.7%
Profitability	Return on invested capital	8.3%	7.7%	9.3%
Cash flow	Operating cash flow, USD	7.33bn	7.04bn	7.35bn
Cash flow	Free cash flow, USD	5.43bn	5.19bn	5.98bn
Leverage	Net debt / EBITDA	1.96x	2.28x	1.50x
Valuation	P/E (trailing)	21.6x	23.2x	27.8x
Valuation	EV/EBITDA	12.6x	14.0x	16.1x
Valuation	P/FCF	18.3x	20.8x	23.4x
Market	Beta (five years)	0.57	Not Retrieved	Not Retrieved
Market	Volatility (annualized, five years)	23.6%	Not Retrieved	Not Retrieved
Market	Maximum drawdown (five years)	-37.4%	Not Retrieved	Not Retrieved

Source: StockAnalysis.com; analyst calculations. Current column: market data at 9 October 2026 or 8 October 2026 (ratios page), fiscal data for the year ended 24 April 2026. Prior year column: fiscal 2025 (year ended 25 April 2025), with price and market data at that fiscal year end.

G. Sources and Methodology

Data cross-check

Financial statements, ratios and market data were compared across the company's earnings releases, the standardized provider data and a second market data series. Revenue (USD 36,364m), free cash flow (USD 5,426m), GAAP EPS (USD 3.73) and dividends (USD 3,639m) agree exactly. Two discrepancies are material. The company reports GAAP operating margin of 17.8% while the provider's operating income implies 20.0%, because the provider excludes certain restructuring and unusual items; the company figure is preferred for fiscal 2026 and the provider series is used only for trends. Net debt is USD 19.8bn at the April 2026 balance sheet and USD 19.2bn in the latest statistics page; the more recent figure is used for enterprise value and the year-end figure for ratios by year. Prices from the two market data series agree on all overlapping dates.

Source list

Primary Sources

Medtronic plc, Fourth quarter and full year fiscal 2026 earnings release (Form 8-K, exhibit 99.1). 3 June 2026.

<https://www.sec.gov/Archives/edgar/data/0001613103/000162828026040034/exhibit991-fy26q4earningsr.htm>. Information obtained: Segment revenue, margins, expenses, EPS, cash flow, guidance

Medtronic plc, Fiscal 2026 results news release. 3 June 2026. <https://news.medtronic.com/2026-06-03-Medtronic-reports-fourth-quarter-and-full-year-fiscal-2026-results-delivers-highest-annual-revenue-growth-in-10-years>. Information obtained: Growth drivers, tariffs, acquisitions

Medtronic plc, First quarter fiscal 2027 earnings release (Form 8-K, exhibit 99.1). August 2026.

<https://www.sec.gov/Archives/edgar/data/0001613103/000162828026059697/exhibit991-fy27q1earningsr.htm>. Information obtained: Quarterly results, raised guidance

Secondary Sources

StockAnalysis.com, Medtronic annual balance sheet. Updated 3 September 2026.

<https://stockanalysis.com/stocks/mdt/financials/balance-sheet/>. Information obtained: Five-year balance sheet (also .../financials/ for the income statement summary)

StockAnalysis.com, Medtronic annual cash flow statement. Updated 3 September 2026.

<https://stockanalysis.com/stocks/mdt/financials/cash-flow-statement/>. Information obtained: Five-year cash flow and free cash flow

StockAnalysis.com, Medtronic annual ratios. 8 October 2026. <https://stockanalysis.com/stocks/mdt/financials/ratios/>.

Information obtained: Historical multiples, returns and leverage ratios

StockAnalysis.com, Medtronic statistics. 9 October 2026. <https://stockanalysis.com/stocks/mdt/statistics/>. Information obtained:

Market capitalization, enterprise value, moving averages, RSI, beta, ownership

StockAnalysis.com, Medtronic company profile. October 2026. <https://stockanalysis.com/stocks/mdt/company/>. Information

obtained: Executive officers, employees, headquarters

MedTech Dive, Medtronic names new chief financial officer. 2025.

<https://www.medtechdive.com/news/medtronic-new-cfo-thierry-pieton/737849/>. Information obtained: Background and start date of the chief financial officer

StockAnalysis.com, Boston Scientific, Abbott and Stryker statistics. 9 October 2026.

<https://stockanalysis.com/stocks/bsx/statistics/>. Information obtained: Peer valuation, margins and net debt (also .../abt/statistics/ and .../syk/statistics/)

Market Data

StockAnalysis.com, Medtronic price history. 9 October 2026. <https://stockanalysis.com/stocks/mdt/history/>. Information obtained:

Daily open, high, low, close and volume, 31 July to 9 October 2026

Alpha Vantage, Monthly adjusted time series, MDT. 9 October 2026. <https://www.alphavantage.co/documentation/>. Information

obtained: Month-end closes and dividend-adjusted closes for returns, volatility and drawdown

StockAnalysis.com, SPDR S&P 500 ETF (SPY). 9 October 2026. <https://stockanalysis.com/etf/spy/>. Information obtained:

Benchmark one-year total return

Calculations

Calculated by the analyst from the sources above: EBITDA margin, cash conversion, compound growth rates, receivable days, period returns, volatility, drawdown, RSI, MACD, average true range, trailing free cash flow (USD 6.1bn), and the discounted cash flow model, sensitivities and scenarios (assumptions stated in sections C4 and C5).

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.